

Iran war escalation & energy implications

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Escalation remains the base case at 55%; de-escalation odds raised from 15% to 25% but no substantive shift in either side's negotiating position justifies confidence in a near-term deal.

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The US faces a window of only weeks to escalate meaningfully before munitions constraints and political pressures foreclose options; the current standoff is viewed as unsustainable.

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Alternative infrastructure will reduce oil flows through the Strait of Hormuz from ~17 million to ~7 million barrels per day by 2030, structurally diminishing but not eliminating Iran's leverage.

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Speakers:

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Gregory Brew, Senior Analyst, Iran and Energy, Eurasia Group

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Clayton Allen, Practice Head, United States, Eurasia Group

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Marc Gustafson, Senior Director for Analysis, Eurasia Group (moderator)

Scenario Probabilities and Analytical Framework

Eurasia Group maintains escalation as the base case at 55%, with the scenario horizon extended to mid-September. De-escalation odds have been raised from 15% to 25%, driven primarily by President Trump's public comments suggesting proximity to a deal and Omani diplomatic activity — not by any confirmed shift in either side's core positions.

The central dispute: Iran demands permanent influence over the Strait of Hormuz (SoH) and a mechanism to derive revenue from it. The US continues to push for a return to the pre-war status quo.

Neither side has moved materially. The compromise proposals currently circulating — a regional consortium modeled loosely on the Strait of Malacca framework, with voluntary contributions to a management fund rather than per-ship tolls — closely resemble proposals Iran rejected weeks ago. Speakers see no clear indication Iran would accept them now.

US Escalation Options and Constraints

The US paused daily airstrikes after roughly two weeks, with the pause attributed to exhaustion of effective lower-level targets along the Strait rather than diplomatic progress. Resuming major operations would require heavy bombers, new weapons systems, and a higher operational tempo — a significantly larger commitment than the operations that occurred over the last several weeks.

While no exact count on US munitions stockpiles exists, using a range of publicly available estimates indicates the US has the ability to maintain high-tempo operations for several weeks. After this point, depleted stocks will prove a more critical limitation, a factor that likely influences the Trump administration's thinking.

These constraints mean any renewed escalation must produce a decisive shift in Iran's position. Trump is described as risk-averse and unlikely to escalate without reasonable confidence the action changes the negotiating dynamic. A full military operation to force open the Strait — requiring tens of thousands of ground troops and seizure of Iranian-held islands — is assessed as effectively off the table given cost, logistics, congressional approval thresholds, and the failure to sufficiently degrade Iranian missile and drone stockpiles.

Iran's Posture and the War of Attrition

Iran is assessed as content to absorb current pressure. It views time as being on its side, expects the US to back down first, and has responded to US strikes proportionally rather than unilaterally escalating. Iranian attacks on shipping have paused, likely because the Strait remains largely closed to traffic — there is little to target.

Iran's regional allies are more active: Houthi attacks on Saudi energy infrastructure (Jizan refinery, Abqaiq processing facility) and Iraqi militia strikes have increased. For Iran, such attacks allow it to maintain pressure on the US as well as regional actors, without exposing itself to direct retaliation.

Iran's position on the nuclear program may also be hardening. If this confrontation ends without a strike on facilities such as Pickaxe Mountain or Esfahan, Iran may conclude the US is deterred from targeting its nuclear assets — reducing its incentive to make concessions on the nuclear file.

Pickaxe Mountain: The Nuclear Dimension

Pickaxe Mountain is a deeply buried facility, construction of which began in 2020 following the sabotage of an above-ground Natanz facility. It was originally designed for centrifuge research and storage, not enrichment — though it could serve that purpose. It has not been struck.

The US's remaining stockpile of Massive Ordnance Penetrators (MOPs), the weapon most likely to be deployed against Pickaxe, would allow the US to strike some but not all of Iran's nuclear targets. Pickaxe, specifically, appears to be more deeply buried than either Fordow or Natanz, and would require

multiple rounds of strikes, though even then, it is unclear if significant or irreparable damage would result. A failed strike could increase Iranian confidence in the facility's survivability and accelerate nuclear rebuilding efforts there or at other hardened, potentially unknown sites.

Oil Market Implications

Brent front-month rose to \$100/barrel last week before falling to approximately \$86 on de-escalation headlines. Speakers expect prices to remain volatile:

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Base range: \$75–\$95/barrel

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Escalation scenario: \$90–\$110/barrel, as Iran would likely retaliate against regional energy infrastructure

Compounding factors beyond Hormuz: Houthi disruption of Saudi flows through Bab el-Mandeb (BAM), ongoing Ukrainian strikes on Russian energy infrastructure, declining Russian refinery output, and weak Chinese refined product exports. Speakers expect refined product prices — diesel, gasoline, jet fuel — to remain elevated through year-end regardless of crude price movement.

Infrastructure Bypass and the Declining Salience of Hormuz

Regional producers are accelerating infrastructure to route oil around the Strait:

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UAE: Fujairah pipeline capacity expected to increase from just under 2 million b/d to ~4 million b/d by end-2026 or early 2027.

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Saudi Arabia: Yanbu Red Sea export capacity expected to rise from ~4–4.5 million b/d to 5.5–7 million b/d by mid-2027.

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Iraq: Exploring pipeline refurbishment through Syria to the Mediterranean.

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Kuwait and Qatar are relative losers — Qatar has no viable alternative LNG export route; Kuwait faces geographic constraints.

By 2030, Hormuz transit volumes are projected to fall from ~17 million b/d to ~7 million b/d. Two caveats: (1) more oil flowing through the Red Sea increases the strategic value of the Houthi position at BAM; (2) all alternative infrastructure remains within range of Iranian missiles and drones.

Key Watch Items

1.

Iranian negotiating position on Hormuz: Any material shift — particularly acceptance of an Omani-brokered regional management consortium — would be the clearest signal of de-escalation.

2.

US–Iran direct or indirect engagement: Movement toward substantive talks (beyond Oman–Iran technical discussions) is a prerequisite for the US dropping its blockade and Iran reopening the Strait.

3.

Resumption of Iranian attacks on shipping: Would likely trigger renewed US strikes and collapse the current pause.

4.

Pickaxe Mountain: Whether the US commits heavy assets (B-2s, MOPs) to strike the facility is a key escalation tripwire; watch Trump's public statements and Israeli lobbying in parallel.

5.

US munitions and funding timelines: Congressional action on supplemental defense funding expected no earlier than September; Pentagon contingency funds are being drawn down.

6.

Alternative infrastructure milestones: UAE Fujairah and Saudi Yanbu capacity expansions over the next 12–18 months will structurally reshape Hormuz's market significance.

What Clients Are Asking

Sanctions relief timeline: Clients asked whether Iran could expect meaningful sanctions relief as part of any deal. Speakers were skeptical — the legal structure requires congressional review (30–60 days), Trump cannot unfreeze assets during that window, and the rapid collapse of the Memorandum of Understanding (MOU) has further eroded the pathway. General licenses cannot unfreeze funds locked under prior sanctions implementation.

What a Strait deal actually looks like: The model under discussion is a regional management consortium modeled on the Strait of Malacca, with a voluntary fund into which shipping companies and regional states contribute — from which Iran could draw operational expenses, not direct per-ship tolls. Iran views this as insufficient. Per-ship tolling remains effectively off the table due to sanctions violations, international law, and opposition from China, the GCC, and insurance markets.

Pickaxe Mountain strike viability: Multiple clients asked about US plans for the facility. Speakers noted the US MOP stockpile is in the mid-teens, multiple would be needed, effectiveness is uncertain, and a failed strike could backfire strategically by validating Iran's confidence in the site.

Long-term stability vs. recurring flare-ups: Some clients argued that Iran's demonstrated leverage might deter future confrontations. Speakers pushed back: GCC fractures (notably UAE's OPEC departure), Iran's likely post-conflict military rebuilding with restored oil revenues, and the absence of any framework addressing Iran's conventional military ambitions all argue against durable stability.

US military bases in the Gulf: Clients asked whether bases would be reinforced, relocated, or reduced. Allen noted Iran's demonstrated ability to strike US bases with MARVs and other systems argues for lighter, more distributed deployments — more carrier and rotational assets, greater reliance on long-range deployments from Western Europe — rather than outright base closures.

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